EXECUTIVE SUMMARY

A. Introduction

1. Agency Profile

Rizal is Cagayan's epic town where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattles.

The enactment of Republic Act 7160, otherwise known as the "Local Government Coder of 1991" extended the powers of the Local Government Units to include not only the ability to create other resources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for suitable social and economic development.

2. Scope of Audit

The audit covered the accounts and operations of the Municipality of Rizal, Cagayan for CY2014 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2014 with comparative figures for CY 2013 are as follows:

	2014	2013	Increase (Decrease)
Financial Position			
Total Assets	₱ 60,721,687.54	₱ 58,509,904.12	₱ 2,211,783.42
Total Liabilities	13,628,235.88	15,185,072.72	(1,556,836.84)
Total Government Equity	47,093,451.66	43,324,831.40	3,768,620.26
Financial Performance			
Total Income	53,501,693.57	48,502,827.14	4,998,866.43
Total Expenses	44,867,331.13	45,499,489.68	(632,158.55)
Appropriations, Allotments and Obligations			
Total Appropriations –	54,224,795.00	48,027,926.00	6,196,869.00-

Current			
Total Obligations	51,490,009.12	47,604,498.20	3,885,510.92
Appropriations - Continuing	-	-	-

During the CY 2014, the Municipality of Rizal made no fund transfer to any government agency. However, the Municipality received a total of ₱6,214,269.00 from other government agencies, as follows:

	2014	2013	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱6,214,269.00	₱ 4,849,403.00	₱ 1,364,866.00
Local Government Units	-	1,000,000.00	(1,000,000.00)
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	-	-
Others	-	-	-
Total	**₱6,214,269.00**	**₱ 5,849,403.00**	**₱ 364,866.00**
Funds Transferred to:			
NGAs	₱ -	₱ -	₱ -
Local Government Units	-	-	-
NGOs/POs	-	-	-
Others	-	-	-
Total	**₱ -**	**₱ -**	**₱ -**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Rizal for the year ended December 31, 2014 due to the following:

1. Inadequate accounting and property records to support the balance of the recorded Property, Plant and Equipment (PPE) account totaling P37,849,357.43. Had adequate accounting and property records been prepared and maintained, the reliability of the recorded PPE as presented in the financial statements could have been corroborated and established.

2. Unrecognized depreciation expense of P1,989,244.72 on depreciable properties. Had adjustments been made to record the depreciation expense, the reported PPE and net income could have been reduced by the same amount at year-end.

3. The validity and existence of Due from GOCCs and Due from LGUs accounts totaling P2,342,440.41 and P1,916,881.80, respectively cannot be ascertained

due to absence of rightful creditors. These balances have been outstanding in the books since 2008 and management failed to establish the names of the government-owned and controlled corporation or local government unit for which the Municipality has legal claims.

4. Unrecorded Public Infrastructure project costing P1,165,789.30. Had adjustment been made, the balance of Property, Plant and Equipment and Government Equity accounts could have been increased by the same amount.

5. Un-reconciled difference of P551,869.90 between the Cash in book and bank balances. Had adjustment been made to reconcile the balances, the Cash in Bank account could have been properly presented in the books at year-end.

D. Summary of Significant Observations and Recommendations

1. Management's assertions of occurrence, accuracy, validity and completeness of transactions could not be ascertained due to non-submission of several Disbursement Vouchers (DVs) together with supporting documents for payments totaling P1,595,214.70 and for incomplete submission of supporting documents for various disbursements aggregating P10,259,431.10.

   The Municipal Treasurer and Municipal Accountant should immediately submit all the identified DVs and the supporting documents of various disbursements to the Office of the Auditor in order to preclude the issuance of a Notice of Suspension and/or Notice of Disallowance for said transactions.

2. The acquisition of various goods and services totaling P1,161,478.25 did not pass through competitive bidding and other alternative modes of procurement due to failure of the Bids and Awards Committee to fulfill the requirements of Republic Act No. 9184 also known as the Government Procurement Reform Act.

   Management should properly plan its procurement activities and conduct competitive bidding in order to avoid violations of the Procurement Law.

3. The required 10% retention money on partial payments made totaling P705,000.00 were not imposed due to non-compliance with the provisions of Implementing Rules and Regulations of Republic Act No. 9184 (IRR-RA 9184).

   Municipal Accountant–Designate should strictly impose the 10% retention money on the progress billings of any contractor.

4. Unliquidated Cash Advances to Officers and Employees accumulated to P9,506,938.05 due to Management's failure to strictly observe the rules and regulations on the granting, utilization and liquidation of cash advances.

Direct the concerned officers and employees to immediately settle their unliquidated cash advances.

5. The liquidation reports for the implementation of various fund transfers received from national government agencies totaling P5,702,769.00 were not yet submitted to concerned agencies due to failure of Management to submit to the Auditor the related Reports of Checks Issued and Report of Disbursements together with the supporting documents for verification.

E. Summary of Total Suspensions, Disallowances and Charges

There were no unsettled Notices of Suspension, Disallowance and Charge as of December 31, 2014.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the 11 audit recommendations embodied in the 2013 Annual Audit Report, none was implemented, two were partially implemented and nine were not implemented.